UNIT 8

FINANCIAL STATEMENT ANALYSIS

Contents

8.1 Introduction
8.2 Financial statements
8.3 Financial statements of companies
8.4 Financial statement analysis
8.5 Tools of financial statement analysis
8.6 Preparation of comparative statements
8.7 Preparation of common size statements
8.8 Trend analysis

Points to recall

The following points are to be recalled before learning financial statement analysis:

- Accounting principles
- Indian Accounting Standards
- Preparation of profit and loss account and balance sheet

Learning objectives

To enable the students to

- Understand the meaning and objectives of financial statement analysis
- Understand the tools of financial statement analysis
- Apply the tools to analyse the financial statements

Key terms to know

- Financial statements
- Financial statement analysis
- Common size statement
- Comparative statement
- Trend analysis

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